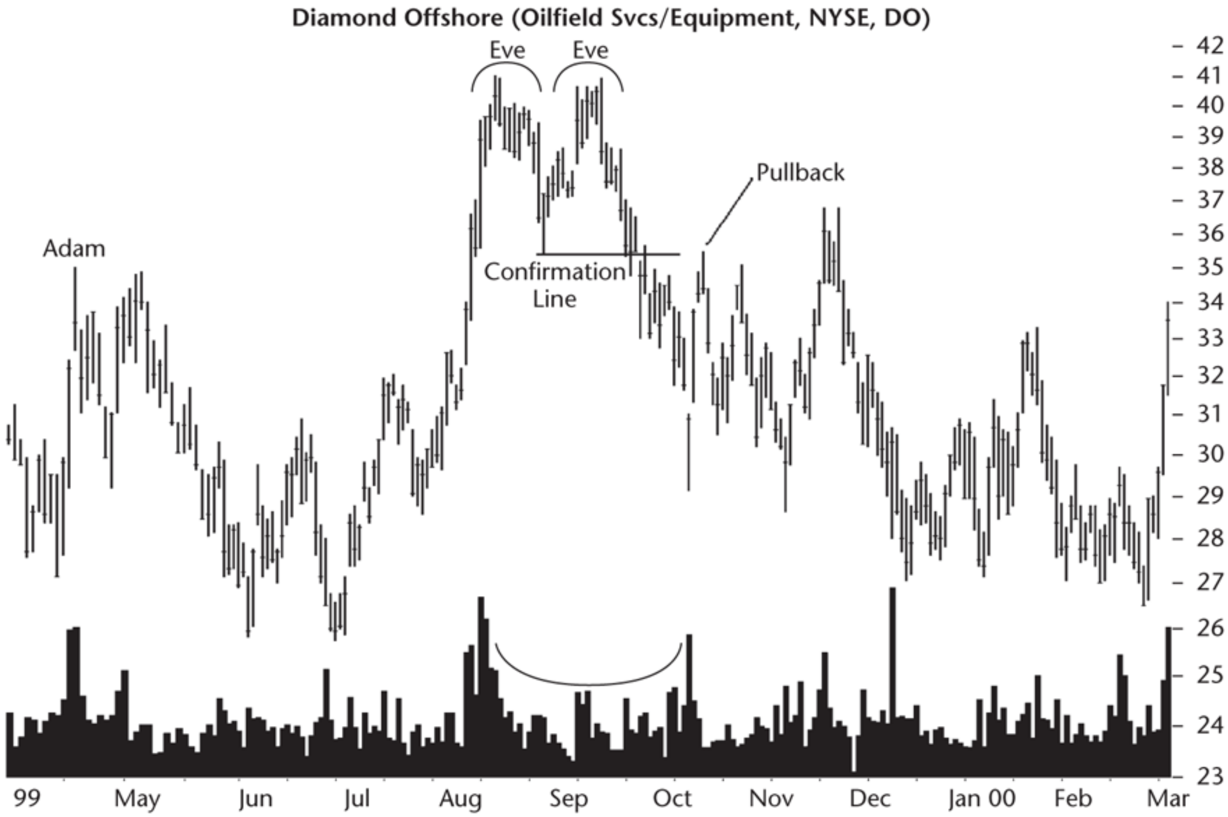

Figure 33.2 Two peaks, similar in appearance, stand atop the price trend and act as a reversal.

Valley between tops. The valley between the tops varies in depth. The figure shows a dip of 14%, measured from the highest high to the lowest low in the pattern. The depth measure is just a guideline, not a rule, so allow variations. I will say that dips larger than the median perform slightly better (by two percentage points).

Top high price. The peaks should top out near the same high price. The usual price difference between the two peaks is tiny, 1% (median). The peaks should not look like stair-steps, but like two tops hitting overhead resistance near the same price. Figure 33.2 shows tops with almost no (0.29%) price difference.

In patterns I look at for my trading, I'm not that concerned with whether the two peaks align in price. As long as they appear Eve-shaped and look like a topping pattern, then I'm fine with it.

Top separation. Look for two well-separated peaks, not twin bumps that are part of the same congestion pattern. The double top in the figure, for